CONTINUING EFFECTIVENESS OF MOMENTUM

The outperformance of momentum on over the past 200 years of data across dozens of markets and asset classes suggests that the momentum anomaly is not just a short-lived one. Since dual momentum is such a good thing, it might be natural to wonder if it might lose its effectiveness when more people finally discover and start using it. Of course, any anomaly can lose some profitability once it starts to be widely followed. However, the deep-seated behavioral biases behind momentum are quite strong, and human nature does not easily change. Furthermore, due to human inertia and lingering ignorance, it is unlikely that the majority of people will suddenly wake up and become enthusiastic momentum investors. This should help keep many investors trading against momentum rather than with it.

As an indication of this, the performance of actively managed funds in aggregate is clearly inferior to the performance of passively managed funds, due largely to the higher costs of active management.[2] People have known this for many years, yet over 70% of all funds are still actively managed.[3] Similarly, ETFs have many advantages over mutual funds, such as intraday liquidity, lower expense ratios, and preferential tax treatment. Yet there is only $1.62 trillion invested in ETFs compared to $14.8 trillion invested in mutual funds.

Momentum may very well show this same kind of disconnect. Some of those to whom I have explained dual momentum do not appreciate it as the “premier anomaly,” and regard it as a niche rather than as a core investment strategy. There are several possible reasons for this. First, I may be a terrible communicator. (For the sake of those buying this book, I hope that is not the case.) Then there are the usual behavioral biases of anchoring and conservatism with respect to something new. Investors are slow to learn and prefer the familiar to the unfamiliar. Next is skepticism by some regarding the efficacy of trend-following methods like absolute momentum. Furthermore, one usually has to invest some time and energy to really understand and appreciate the benefits of dual momentum investing. I hope that this book will help in that regard. Those willing to take the time and make the required effort should have a substantial advantage over most other investors.